

	Differences that will <i>increase</i> the earnings subject to income tax	Differences that will <i>decrease</i> the earnings subject to tax
I. Items in reported income account excluded from income account for tax purposes	Short-term capital loss for current year Insurance paid on officers' lives Mark-down of securities owned to market	85% of domestic dividends received Interest received on government, state and municipal bonds
II. Items generally shown in the surplus account, which are included in the tax return	Profit on sale of capital assets Income received applicable to prior years Profit on certain sales of capital stock	Long-term loss on sale of capital assets Certain development expenses to be written off in future years Premium and unamortized discount on bonds retired Loss on certain sales of capital stock Current year's amortization of bond discount previously charged off in its entirety against surplus
III. Items not appearing in the reported income or surplus account for the current year		(Certain) net losses carried over from preceding or next preceding year (Certain) short-term capital losses carried over from the preceding year

IV. Other differences:

- A. Depreciation and other amortization may be computed by different methods in the tax return and on the published statement.
- B. The amount of the tax may be reduced by reason of income and similar taxes paid outside the United States.

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Following are three varying examples of the exclusion of part of the amortization allowance from the income account.

Example A: Pennsylvania-Dixie Cement Co. As of Jan. 1, 1937, this company created a special reserve of \$9,373,000 (by a charge to capital surplus) in order to write down the value of its plant to a figure that eliminates a mark-up made at the